

Before the Hon'ble National Company Law Tribunal
Bengaluru Bench

C.P. (CAA)No.40/BB/2024

IN

CA(CAA)No.2/BB/2024

In the matter of Companies Act 2013

And

In the matter of section 230 to 232 read with section 66 and
other applicable provision of the Companies Act 2013

AND

In the matter of scheme of Amalgamation between Innovation
Imaging Technologies Private Limited (Transferor Company)
and Innvolution Healthcare Private Limited (Transferee
Company) and their respective Shareholders and Creditors

Innovation Imaging Technologies Private Limited

Registered office- Plot No.121-F, Bommasandra Industrial
Area, Phase-I Hulimangala Road, Hosur Main Road, Anekal-
Taluk Bengaluru KA 560099 IN

Petitioner/ Transferor Company

Notice for Hearing of Petition

Take notice that the above referenced Petition seeking sanction
to the Scheme of Amalgamation Amongst Innovation Imaging
Technologies Private Limited ("Transferor Company") and
Innvolution Healthcare Private Limited ("Transferee
Company") and their respective Shareholders and Creditors was
presented and admitted by the Hon'ble National Company Law
Tribunal, Bengaluru Bench on 12.11.2024 and is fixed for final
hearing before the Hon'ble NCLT on 9th day of January 2025.

A copy of the Scheme is enclosed for your reference.

Sd/-
Gaurav Agarwal
Managing Director

Before the Hon'ble National Company Law Tribunal
Bengaluru Bench

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Innvolution Healthcare Private Limited

Registered office: Plot No.121-F, Bommasandra Industrial
Area, Phase-I Hulimangala Road, Hosur Main Road, Anekal-
Taluk Bengaluru Bangalore KA 560099 IN

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A copy of the Scheme is enclosed for your reference.

Sd/-
Gaurav Agarwal
Director

SCHEME OF AMALGAMATION

BETWEEN

INNOVATION IMAGING TECHNOLOGIES PRIVATE LIMITED (“Transferor Company” or “IITPL”)

AND

INNVOOLUTION HEALTHCARE PRIVATE LIMITED (“Transferee Company” or “IHPL”)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

(Under the provisions of Section 230 to 232 read with Section 66 and other applicable provisions of the Companies Act, 2013 and Rules made thereunder)

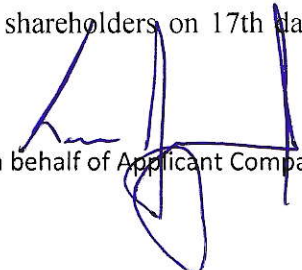
PARTS OF THE SCHEME

1. **PART I** deals with Preamble and Share Capital
2. **PART II** deals with Definitions
3. **PART III** deals with rationale of the Scheme
4. **PART IV** deals with operation of the Scheme of Amalgamation
5. **PART V** deals with General Terms and Conditions applicable to the Scheme

1. PREAMBLE AND SHARE CAPITAL

- 1.1. This Scheme of amalgamation is presented for amalgamation of Innovation Imaging Technologies Private Limited with Innvolution Healthcare Private Limited and for matters incidental and ancillary thereto/ various other matters consequential or otherwise integrally connected herewith pursuant to Section 230 to 232 read with Section 66 of the Act (as defined below) and other relevant provisions of the Act and the rules framed thereunder.
- 1.2. Innovation Imaging Technologies Private Limited (hereinafter referred as “Transferor Company” or “IITPL” or “Applicant Company”)] is a private company limited by shares originally incorporated as Innvolution Imaging Technologies Private Limited on 23rd March 2016 at Bengaluru under Companies Act, 2013 with having its erstwhile registered office at Plot No.121-G, Bommasandra Industrial Area, 1st Phase, Hosur Road, Opp Mahindra Rewa, Bengaluru Karnataka - 560099, India. The Corporate Identity Number of the Transferor Company is U33110KA2016PTC087188. Thereafter, pursuant to special resolution passed by its shareholders on 17th day of

On behalf of Applicant Companies



April 2018 its name was changed to its current name 'Innovation Imaging Technologies Private Limited' and a fresh certificate of incorporation dated 8th day of June 2018 was issued to that effect. Thereafter, pursuant to the Board Resolution passed by Board of Directors on 7th day of December, 2021 the registered office of the Company was shifted from No.121G, 1st Phase, Bommasandra Indl Estate, Bangalore, Karnataka-560099 to Plot No.121-F, Bommasandra Industrial Area, Phase-I, Hulimangala Road, Hosur Main Road, Anekal-TalukBengaluru, Karnataka - 560099, India. The Transferor Company is engaged in the following business activity as provided in the Memorandum of Association of the Company:

- (a) To do manufacturing, assembling, trading and servicing of Cath Lab- Medical Equipments and accessories related to diagnosis and treatment of various cardiovascular, Peripheral Vascular and neurovascular diseases and imaging technologies for medical purpose.
- (b) To provide trading and servicing of various Medical devices and accessories and all allied activities.

- 1.3. Innvolution Healthcare Private Limited (hereinafter referred as "Transferee Company" or "IHPL" or "Applicant Company") was incorporated on 20th December 2011 at Delhi, under Companies Act 1956 with its registered office at 109, Roots Tower, Laxmi Nagar District Centre, Laxmi Nagar, Delhi - 110092, India. The Corporate Identity Number of the Transferee Company is U74999KA2011PTC174870. Pursuant to special resolution passed by its shareholders on 30th March 2018 followed by the order of the Hon'ble Regional Director, Delhi dated 10th August 2018 the registered office of the Transferee Company was shifted to 324, 3rd Floor, Angel Mega Mall, Plot No. CK-1, Kaushambhi, Ghaziabad, Uttar Pradesh - 201010, India and a fresh certificate of registration dated 11th day of October 2018 was issued to this effect. Thereafter, pursuant to another special resolution passed by its shareholders on 18th July 2022 the registered office of the Company was shifted to its current registered office at Plot No.121-F, Bommasandra Industrial Area, Phase-I Hulimangala Road Hosur Main Road, Aneka I-Taluk Bengaluru Bommasandra Industrial Estate, Bengaluru, Karnataka, India and a fresh certificate of registration dated 15th June, 2023 was issued to this effect. The Transferee Company is engaged in following business activity as provided in the Memorandum of Association of the Company:

- (A) Manufacturing and trading (both import and export) of all kinds of medical devices, medical equipment, medical implants, healthcare devices and accessories and all kinds of drugs and medicines, vaccines, syringes, dressings, medicated ointments, etc produced under a drug licence, all kind of bulk drugs, API, branded formulations and generic drugs, kind of allopathic, ayurvedic, homeopathic, and other alternative therapy drugs and medicines sold on prescription and over-the-counter drugs.
- (B) Manufacturing and trading of all kind of nutrition products sold on prescription and OTC products, cosmetics & general Products, all kind of diagnostic products, reagents, chemicals and associated equipments used in Hospitals, Nursing Homes, Clinics and Diagnostic labs etc, all kind of Surgical Products.

On behalf of Applicant Companies

(C) Business of providing consultancy work on healthcare projects in India and abroad to MNC/Indian companies in lieu of professional fee/commission, tourism packages to clients in India and abroad, healthcare consultancy work to any existing/ new drugs/ devices and Clinical Trial work from group company and any other company in lieu of professional fee, turnkey assignments to build hospital infrastructure such as operation theatre, labs, etc., deal in any other allied and related healthcare products and services.

1.4. **The Authorised, issued, subscribed and paid-up capital of IITPL as on 31st March 2023 is as follows:**

Particulars	Amount (INR)
<u>Authorised Share Capital</u>	
58,70,000 equity shares of INR 10/each	5,87,00,000
58,20,000 preference share of INR 10/ each	5,82,00,000
Total	11,69,00,000
<u>Issued Share Capital</u>	
57,26,064 equity shares of INR 10 each	5,72,60,640
1% 1,17,400 compulsorily convertible preference shares of INR 10/ each	11,74,000
56,96,737 compulsorily convertible preference shares of INR 10/- each	5,69,67,370
Total	11,54,02,010
<u>Subscribed & Fully Paid-up Share Capital</u>	
57,26,064 equity shares of INR 10 each	5,72,60,640
1% 1,17,400 compulsorily convertible preference shares of INR 10/ each	11,74,000
Total	5,84,34,640

Thereafter, IITPL has allotted 56,96,737 compulsorily convertible preference shares on 05.04.2023, converted 117400 preference shares into Equity shares on 16.06.2023 and 18,839 equity shares allotted to the Eligible Employees under ESOP Scheme 2019 and 2021 on 07.07.2023 and the updated authorised, issued, subscribed and paid- up capital of IITPL as on date is as follows:

Particulars	Amount (INR)
<u>Authorised Share Capital</u>	
58,70,000 equity shares of INR 10/each	5,87,00,000
58,20,000 preference share of INR 10/ each	5,82,00,000
Total	11,69,00,000
<u>Issued, Subscribed & Fully Paid-up Share Capital</u>	
58,62,303 equity shares of INR 10 each	5,86,23,030
56,96,737 compulsorily convertible preference shares of INR 10/- each	5,69,67,370
Total	11,55,90,400

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The aforesaid issued, subscribed, and paid-up share capital of the Transferor Company does not include Transferor Company Stock Options outstanding for exercise under the Transferor Company ESOP Scheme that have been issued by the Transferor Company. Upon exercise of the Transferor Company Stock Options in accordance with the terms and conditions of relevant Transferor Company ESOP Scheme, the Transferor Company shall be required to issue fully paid-up equity shares of the Transferor Company in accordance with the terms and conditions of the Transferor Company ESOP Scheme and accordingly the issued, subscribed, paid-up share capital of the Transferor Company may undergo a change.

1.5. The Authorised, issued, subscribed and paid-up capital of IHPL as on 31st March 2023 is as follows:

Particulars	Amount (INR)
<u>Authorised Share Capital</u>	
30,00,000 equity shares of INR 10/each	3,00,00,000
1,00,000 preference share of INR 10/ each	10,00,000
Total	3,10,00,000
<u>Issued, Subscribed & Fully Paid-up Share Capital</u>	
77,050 equity shares of INR 10 each	7,70,500
86,131 preference share of INR 10/ each	8,61,310
Total	16,31,810

Subsequent to the above, there are no further changes in the share capital of IHPL as on the date of approval of the Scheme by the Board of Directors of IHPL.

PART II DEFINITIONS

2. Definitions:

In this Scheme, unless inconsistent with the subject or context, the following expressions shall have the following meaning:

- 2.1. “Act” means the Companies Act, 2013 including any applicable rules and regulations made thereunder and shall include any and all statutory modifications, re-enactment or amendments thereof for the time being in force.


 On behalf of Applicant Companies

- 2.2. **"Applicable Law"** means any statute, notifications, bye-laws, rules, regulations, guidelines, rule of common law, policy, code, directives, ordinance, scheme, notices, orders or instructions having the force of law enacted or issued by any Appropriate Authority including any statutory modification or re-enactment thereof for the time being in force.
- 2.3. **"Appointed Date"** for the purpose of this Scheme and for Income Tax Act, 1961 means the date from which this Scheme shall become operative viz., the commencement of business on 01-April-2023 or such other date as may be assented to and approved by the Board of Directors of the Company and approved by the NCLT (*as defined hereinafter*);
- 2.4. **"Appropriate Authority"** means and includes any applicable governmental, statutory departmental or public body or authority, including the Central Government, Registrar of Companies, Regional Director, Income Tax Department, Reserve Bank of India and NCLT (*as defined hereinafter*).
- 2.5. **"Board of Directors" or "Board"** means the Board of Directors of the Transferor Company and the Transferee Company, as the case may be, and shall unless, it is repugnant to the context, includes a committee of directors constituted or appointed and authorized to take any decision for the implementation of this Scheme;
- 2.6. **"Effective Date"** means the last of the dates on which the authenticated copy or certified copy of the order of the NCLT (*as defined hereinafter*) sanctioning this scheme is filed with the Registrar of Companies, Bengaluru, Karnataka. Any reference in the scheme to **"Upon the Scheme becoming effective"** or **"Upon coming into effect of the Scheme"** or **"Effectiveness of the Scheme"** shall refer to the "Effective Date".
- 2.7. **"Eligible Employee"** means the employees of the Transferor Company who are entitled to Transferor Company ESOP Scheme formulated by the Transferor Company, to whom, as on the Effective Date, options of the Transferor Company have been granted, irrespective of whether the same are vested or not.
- 2.8. **"ESOP"** means Employee Stock Option Scheme.
- 2.9. **"Government" or "Semi Government" or "Local Authority"** means any applicable Central, State or Local Government, legislative body, regulatory or administrative authority, agency or commission or any Court, Tribunal, Board, Bureau, Judicial or Arbitral body having jurisdiction over the Territory of India or any state or other subdivision thereof or any municipality, district or other subdivision thereof.
- 2.10. **"INR"** shall mean Indian Rupees.

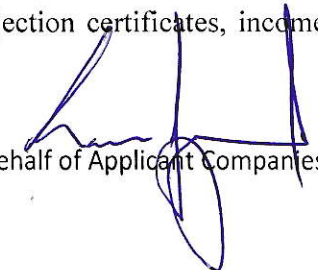

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- 2.11. **"NCLT" or "Tribunal"** means the National Company Law Tribunal, Bengaluru Bench, the National Company Law Appellate Tribunal ("NCLAT") or such other authority constituted or authorized under the Act for approving any scheme of arrangement, Compromise or reconstruction of Companies under section 230 to 234 of the Act, having jurisdiction to sanction the Scheme.
- 2.12. **"Record Date"** means the date to be fixed by the Board of Directors of the Transferee Company for the purpose of determining the members of the Transferor Company to whom shares will be allotted pursuant to this Scheme.
- 2.13. **"Registrar of Companies"** means Registrar of Companies, Bengaluru, Karnataka.
- 2.14. **"Scheme of Amalgamation" or "Scheme" or "the Scheme" or "this Scheme"** means this Scheme of Amalgamation in its present form (along with any annexures, schedules, etc. attached hereto) or with any alternation(s) and modification(s) undertaken in accordance with the provisions thereof.
- 2.15. **"Tax" or "Taxes"** means any and all taxes (direct or indirect), surcharges, fees, levies, duties, tariffs, imposts and other charges of any kind in each case in the nature of a tax, imposed by any Governmental Authority (whether payable directly or by withholding), including taxes based upon or measured by income, windfall or other profits, gross receipts, property, sales, severance, branch profits, customs duties, excise, CENVAT, withholding tax, self-assessment tax, advance tax, service tax, goods and services tax, stamp duty, transfer tax, value-added tax, minimum alternate tax, banking cash transaction tax, securities transaction tax, taxes withheld or paid in a foreign country, customs duty and registration fees (together with any and all interest, penalties, additions to tax and additional amounts imposed with respect thereto).
- 2.16. **"Transferee Company"** means Innvolution Healthcare Private Limited, a company incorporated on December 20, 2011 under the Companies Act, 1956 bearing Corporate Identity Number U74999KA2011PTC174870 and having its registered office at Plot No.121-F, Bommasandra Industrial Area, Phase-I Hulimangala Road Hosur Main Road, Anekal Taluk Bengaluru Bommasandra Industrial Estate Bangalore South Bangalore Karnataka 560099 India.
- 2.17. **"Transferor Company"** means Innovation Imaging Technologies Private Limited a company incorporated on March 23, 2016 under the Companies Act, 2013 bearing Corporate Identity Number U33110KA2016PTC087188 and having its registered office at Plot No.1 as on the Appointed Date and those forming part of the undertaking or business of the Transferor at any time after the Appointed Date, Plot No. 121-F, Bommasandra Industrial Area, Phase-I, Hulimangala Road, Hosur Main Road, Anekal Taluk Bengaluru Bangalore Karnataka 560099 India.


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- 2.18. **“Transferee Company ESOP Scheme”** means ESOP Scheme 2022 issued by Innvolution Healthcare Private Limited
- 2.19. **“Transferor Company ESOP Scheme”** means ESOP Scheme 2019, ESOP Scheme 2021, ESOP Scheme 2023 issued by Innovation Imaging Technologies Private Limited.
- 2.20. **“Undertaking”** means the whole of the undertakings and entire businesses of the Transferor Company as a going concern, including, as on the Appointed Date and those forming part of the undertaking or business of the Transferor at any time after the Appointed Date, without limitation:
- a. all the assets and properties (whether movable or immovable, tangible or intangible, real or personal, in possession or reversion, corporeal or incorporeal, present, future or contingent of whatsoever nature) of the Transferor Company, whether or not recorded in the books of accounts of the Transferor Company (including, without limitation, the freehold and leasehold properties of the Transferor Company), investments of all kinds (i.e., shares, scrips, stocks, bonds, debenture stocks, units or pass through certificates), furniture, fixtures, plant, machinery, office equipment, computers, fixed assets, current assets (including, without limitation, all inventories, stock-in-trade or stock-in-transit, raw materials, supplies, finished goods, packaging items, wherever located), cash and bank accounts (including bank balances), contingent rights or benefits, benefits of any deposits, receivables, advances or deposits paid by or deemed to have been paid by the Transferor Company with Government, Semi Government or Local Authorities, financial assets, vehicles, electrical installations, telephones, telex, facsimile and other communication facilities (including rights to use and avail of telephones, telexes, facsimile, email, internet, leased line connections and installations), utilities, electricity and other services, reserves, provisions, funds, benefits of assets or properties or other interest held in trust, registrations, contracts, engagements, arrangements of all kind, privileges and all other rights, easements, privileges, liberties and advantages of whatsoever nature and where-so-ever situate belonging to or in the ownership, power or possession and in the control of or vested in or granted in favour of or enjoyed by the Transferor Company or in connection with or relating to the Transferor Company and all other interests of whatsoever nature belonging to or in the ownership, power, possession or the control of or vested in or granted in favour of or held for the benefit of or enjoyed by the Transferor Company, whether in India or abroad;
 - b. all permissions, approvals, consents, subsidies, privileges, permits, quotas, rights, claims, entitlements, concessions, clearances, credits, awards, sanctions, allotments, no-objection certificates, tax deferrals, tax credits (including any credits arising from advance tax, self-assessment tax, other income tax credits, minimum alternate tax credits, withholding tax credits, tax collected at source, CENVAT credits, Goods and Service Tax Credits), refunds, registrations (including, but not limited to sales tax, service tax, excise duty, value added tax, entry tax, octroi, goods and services tax), licenses, clearances, exemptions, authorizations, no objection certificates, income

On behalf of Applicant Companies



tax benefits and exemptions, indirect tax benefits and exemptions (including, but not limited to credits in respect of income tax, sales tax, service tax, excise duty, value added tax, turnover tax, goods and services tax, tax credits, tax refunds, tax holidays, security transaction tax, minimum alternate tax credit, duty entitlement credit certificates), all other rights, benefits and liabilities related thereto, licenses for research and development activities, powers and facilities of every kind, nature and description whatsoever, provisions and benefits of all agreements, contracts and arrangements and all other interests in connection with or relating to the Transferor Company;

- c. all contracts, agreements (including but not limited to distribution and supply agreements, purchase agreements, procurement agreements, service agreements, customer and vendor contracts, agency agreements, claim settlement agreements, technology license agreement, trademark license agreement), concessions (of any nature and any rights therein or thereto or thereunder), memoranda of understanding, letters of intent, other arrangements, undertakings, deeds, bonds, insurance covers and claims, clearances and other instruments of whatsoever nature and description, if any, whether written, oral or otherwise, to which the Transferor Company is a party to, or to the benefit of which the Transferor Company may be eligible;
- d. all intellectual property rights of any nature whatsoever, books, records, files, papers, software licenses (whether proprietary or otherwise), domain names, service marks, trademarks, copyrights, trade and service names and all other records and documents, whether in physical or electronic form relating to business activities and operations of the Transferor Company along with any and all goodwill, receivables belonging to or utilized for the business and activities of the Transferor Company;
- e. Right to any claim not presented or made by the Transferor Company in respect of refund of any tax, duty, cess or other charge, including any erroneous or excess payment thereof made by the Transferor Company and any interest thereon, with regard to any law made by any Governmental Authority, and in respect of set-off, carry forward of un-absorbed losses, deferred revenue expenditure, deduction, exemption, rebate; allowance, amortization benefit, etc. under and in accordance with any Applicable Law, whether in India, or anywhere outside India;
- f. all present, contingent and future liabilities, duties, obligations of every kind, nature, description, lien, security or encumbrance in relation thereto, whether in Indian rupees or foreign currency and whether or not provided for in the books of account or disclosed in the balance sheet of the Transferor Company; and
- g. all employees of the Transferor Company and the employee benefit funds (including but not limited to provident fund, gratuity fund, superannuation fund or such other special fund, if any, or Trusts created for the benefit of the staff, workmen and employees), if any of the Transferor Company.

It is intended that the definition of 'Undertaking' under this Clause would enable the transfer of all property, assets, rights, duties, licenses, employees and liabilities of the Transferor Company into the Transferee Company pursuant to this Scheme.


On behalf of Applicant Companies

Interpretation

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning as ascribed to them under the Act and other applicable laws, rules, regulations and byelaws as the case may be, including any statutory modification or re-enactment thereof from time to time.

References to any statute or statutory provisions shall be construed as references to the statutory provisions under laws of India unless otherwise specified, and in any event to those provisions as respectively amended, superseded or re-enacted or as their application is modified by any other provisions (whether made before or after the date of this Scheme) from time to time, to the extent in force.

Word(s), term(s) and expression(s) elsewhere defined in the Scheme will have the meaning(s) respectively ascribed thereto.

References to Clauses are to the specified Clauses of this Scheme and references to sub-clauses are to the sub-clauses of the Clause of this Scheme in which the reference appears.

The headings and sub-headings are for information only and shall not affect the construction or interpretation of this Scheme.

The singular shall include the plural and vice versa; and reference to one gender shall include all genders.

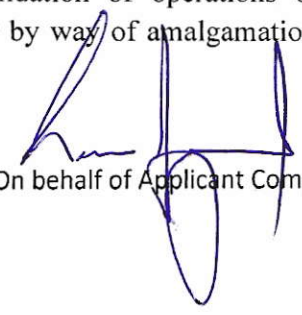
Any phrase introduced by the terms "including", "include" or any similar expression shall be construed as illustrative and shall not limit the sense or scope of the word(s) preceding those terms.

PART III RATIONALE OF THE SCHEME

3. Rationale of the Scheme

4. The Directors of the Transferor Company and Transferee Company are of the opinion that the proposed amalgamation of the Transferor Company with Transferee Company by way of combining the activities and operations into a single company would be advantageous and lead to strong capability in effectively meeting future challenges of a competitive business environment in the following manner:
 - a. Enable cost saving and optimum utilisation of valuable resources which will enhance the management focus thereby leading to higher operational efficiency,
 - b. Simplified corporate structure,
 - c. Rationalisation of administrative and operative costs,
 - d. To pursue the possibilities of expansion and growth for the combined entity more efficiently leading to better returns. The consolidation of operations of the Transferor Company and the Transferee Company by way of amalgamation will

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lead to a more efficient utilization of capital, administrative and operational rationalization and promote organizational efficiencies. It will prevent cost duplication that can erode financial efficiencies of the holding structure and the resultant operations will be more cost-efficient with the achievement of greater economies of scale, reduction in overheads and improvement in various other operating parameters. The proposed arrangement would result in greater economies of scale and will provide a larger and stronger base for potential future growth.

The Transferor Company and Transferee Company are under the control of same group/ common management. The Transferee Company is in a position to, and do exercise control over the Transferor Company. The Business of the Transferor Company and that of the Transferee Company are complementary to each other.

- 4.1. By virtue of proposed amalgamation of Transferor Company in Transferee Company, the operation of both Companies shall be bought under a common management control. The amalgamation will result in the formation of a stronger company with a larger capital and asset base and enable the combined business to be pursued more conveniently and advantageously.
- 4.2. In view of the aforesaid, the Board of Directors of the Transferor Company as well as the Board of Directors of the Transferee Company has considered and proposed the amalgamation of the entire undertaking and business of the Transferor Company with Transferee Company.
- 4.3. The Scheme of Amalgamation would facilitate the continuance of the business of the Transferor Company and Transferee Company under one entity and management and would help in elimination of duplication and rationalisation of administrative expenses.
- 4.4. By the amalgamation, the administrative and operational costs will be considerably reduced and Transferee Company will be able to operate and run the company more effectively and economically resulting in better turnover, profits, operational efficiencies, business synergies and more productive utilization of resources.
- 4.5. The amalgamation will lead to reflection of true net worth of the combined business for the stakeholders in the financial statements and ensure enhancement of net worth of combined business and better valuation for stakeholders.
- 4.6. The Scheme of Amalgamation will result in better financial strength and flexibility and will not impose any additional burden on the members of the Transferor Company or the Transferee Company, thus resulting in maximizing overall shareholder value.
- 4.7. Given that the business of the Transferor Company and the Transferee Company complement each other and combination of such companies would lead to business continuity along with commercial, operational and administrative synergies leading to maximizing stakeholders' value. The Scheme is being entered into to amalgamate the


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Transferor Company with the Transferee Company with a vision to retain the undertakings transferred within the same group, as the Parties to the Scheme are under the same management

PART IV- SCHEME OF AMALGAMTION

- 4.1. The scheme means the scheme of Amalgamation of the Transferor Company with the Transferee Company in accordance with section 230 to 232 of the Companies Act 2013 and/or other relevant rules and provisions of the Act.

4.2. **Transfer and vesting of the Undertaking/ Amalgamation of Companies**

Upon sanction of the Scheme by the NCLT and the coming into effect of the Scheme from the Effective Date and with effect from the Appointed Date, the entire business and Undertaking of the Transferor Company shall be transferred to and vested in or be deemed to be transferred to and vested in the Transferee Company in the following manner:

- 4.2.1. With effect from the Appointed Date and subject to the provisions of the Scheme, the whole of the Undertaking of the Transferor Company shall, pursuant to the sanction of the Scheme by the Tribunal and pursuant to the provisions of Sections 230 to 232 and other applicable provisions of the Act, be and stand transferred to and vested in and/ or deemed to have been transferred to and vested in the Transferee Company, as a going concern, without any further act, deed, instrument, matter so as to become, as and from the Appointed Date, the undertaking of the Transferee Company by virtue of and in the manner provided in this Scheme.

Provided that for the purpose of giving effect to the vesting order passed under Sections 230 to 232 in respect of this Scheme, the Transferee Company shall at any time pursuant to the orders on this Scheme be entitled to get the record of the change in the title and the appurtenant legal right(s) upon the vesting of such assets of the Transferor Company in accordance with the provisions of Sections 230 to 232 of the Act, at the office of the respective registrar or any other concerned authority, where any such property is situated.

- 4.2.2. All movable assets comprising amongst others all, investments, inventories, vehicles, furniture and fixtures, computers, office equipment, electrical installations, water connections, rights, titles, interests, benefits and advantages of whatsoever nature and wherever situated belonging to or in the ownership, power or possession and in the control of or vested in or granted in favour of or enjoyed by Transferor Company or assets that are otherwise capable of transfer by physical or constructive delivery and/or


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endorsement and delivery including cash in hand, if any, of the Transferor Company, capable of passing by manual delivery or by endorsement and delivery, shall be so delivered or endorsed, as the case may be, to the Transferee Company to the end and intent that the property rights and benefit therein passes to the Transferee Company after the sanction of this Scheme with effect from the Appointed Date, without requiring any further act, deed or instrument or any other formality or endorsement for the transfer of the same.

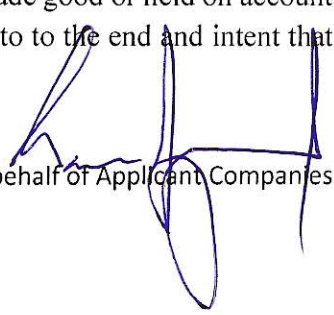
All telephones, telex, facsimile, cell phones and other communication facilities, electricity, water and other utility connections and tariff rates in respect thereof sanctioned by various public sector and private companies, boards, agencies and authorities to Transferor Company together with security deposits and all other advances paid, shall stand transferred in favour of Transferee Company on the same terms and conditions without requiring any further act, deed or instrument for the transfer of the same;

All rights or easements in relation to any immovable property leased / licensed to the Transferor Company as on the Appointed Date shall be vested in and transferred to and / or deemed to have been transferred to and vested in Transferee Company and shall belong to the Transferee Company by execution of appropriate novation / assignment agreements. With effect from the Effective Date, the Transferee Company shall be liable for payment of all such duties and taxes and rent in relation to the immovable properties transferred and vested into the Transferee Company.

- 4.2.3. All movables of Transferor Company other than those specified in sub-clause 4.2.2 above, including sundry debtors, outstanding loans and advances, if any, recoverable in cash or in kind or for a value to be received, Bank balances and deposits, if any, with Government, semi-Government, local and other authorities and bodies, customers and other persons, shall without any further act or deed, cost or charge and without any notice or other intimation to any third party be transferred to and be vested in Transferee Company with effect from the Appointed Date. It is clarified that Transferor Company shall if so required by Transferee Company, and/ or Transferee Company may, issue notices in such form as Transferee Company may deem fit and proper, without being obliged to do so. Such notice may state that pursuant to the sanction of this Scheme, the relevant debt, loan, advance or other asset, be paid or made good or held on account of Transferee Company, as the person entitled thereto, to the end and intent that the right of Transferor Company to recover or realize the same stands transferred to Transferee Company and that appropriate entries should be passed in their respective books to record the aforesaid changes

- a. The Transferee Company shall intimate in such form as it may deem fit and proper, to each, debtor, loanee, or depositor as the case may be, that pursuant to the Tribunal having sanctioned the Scheme, with effect from the Effective Date, the said debts, loans advances, bank balances or deposits be paid or made good or held on account of the Transferee Company as the person entitled thereto to the end and intent that

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the right of the transferor company to recover or realise the same stands extinguished.

- b. The Transferor Company shall also intimate in such form as it may deem fit and proper to each person, debtor, loanee, or depositor pursuant to the tribunal having sanctioned the Scheme, the said debts, loans advances, bank balances or deposits be paid or made good on account of the Transferee Company and that the right of the transferor company to recover or realise the same stands transferred to and vested in the Transferee Company with effect from the Effective Date.

4.2.4. Any floating charges created by the Transferor Company in favour of its bankers on any of the movable assets, documents of title to goods, receivables, claims and other current assets that are acquired by the Transferor Company from the Appointed Date till the Effective Date, shall be deemed to be the security and shall be available as security for the loans, cash credit and other working capital facilities, both fund based and non-fund based, which were sanctioned by the bankers of the Transferor Company, either utilised fully or partly or unutilised by the Transferor Company subject to the limits sanctioned by their bankers so transferred and vested in the Transferee Company pursuant to the Scheme.

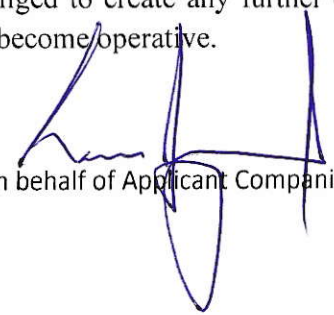
4.2.5. The transfer and vesting of the Undertaking of the Transferor Company, as aforesaid, shall be, subject to existing charges / hypothecation / mortgage (if any as may be subsisting) over or in respect of the said assets or any part thereof in favour of Transferee Company:

Provided, however, that any reference in any security documents or arrangements to which the Transferor Company is a party pertaining to the assets of the Transferor Company offered, or agreed to be offered, as security for any financial assistance or obligations, shall be construed as references only to the Assets pertaining to the Undertaking of the said Transferor Company as are vested in the Transferee Company by virtue of this Scheme to the end and intent that such security, mortgage and or charge shall not extend or be deemed to extend, to any of the assets of the said Transferor Company or any of the assets of the Transferee Company.

Provided further that the securities, charges and mortgages (if any subsisting) over and in respect of the assets or any part thereof of the Transferee Company shall continue with respect to such assets or part thereof and this Scheme shall not operate to enlarge such securities, charges or mortgages to any of the assets of the Transferee Company.

Provided further that this Scheme shall not operate to enlarge the security for any loan, deposit or facility created by the Transferor Company which shall vest in the Transferee Company by virtue of amalgamation of the Transferor Company with the Transferee Company and the Transferee Company shall not be obliged to create any further or additional security therefore after the amalgamation has become operative.

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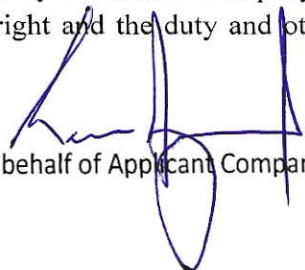


For avoidance of doubt, it is clarified that all licenses of Transferor Company shall, with effect from the Appointed Date, deemed to be and become the licenses of Transferee Company, and shall remain valid, effective and enforceable and in favour of Transferee Company, as if the same were originally given to, issued to or executed in favour of Transferee Company. The obligations, duties, rights and benefits of all Transferor Company's licenses shall vest in and become available to Transferee Company. Any third party or authority required to give effect to the provisions of this Clause shall take on record the order of the NCLT sanctioning this Scheme on its file and make and duly record the necessary substitution or endorsement in the name of Transferee Company as successor in interest.

Without prejudice to anything contrary contained in this Scheme, with effect from the Effective Date, Transferee Company shall commence and carry on and shall be authorised to carry on the businesses carried on by Transferor Company. For this purpose, Transferee Company and/or Transferor Company shall apply for transition of all licenses, registrations, approvals, consents, permits, and quotas of or relating to Transferor Company, including but not limited to registrations, licences, etc., with the relevant Authorities required for the businesses.

All the intangible property of Transferor Company including any or all goodwill, website domain names, patents, trademarks, trade names, service names, marks, logos, brands, copyrights, know-how, technical know-how, descriptions, trading style, franchise, labels, label designs, colour schemes, utility models, designs, drawings, maps, technical or any other manuals, books or documents, marketing authorizations, approvals, marketing tangibles, licenses, registrations, or consents or any right in any intellectual property, whether registered or not and whether or not recorded in the books of Transferor Company, pertaining to or enjoyed by Transferor Company shall stand vested in or transferred to or be deemed to have been transferred to and vested in and be available to Transferee Company, subject to any encumbrances, charge or lien thereon, without any further act, instrument or deed and shall be appropriately mutated by the appropriate Authority or party concerned, if and as may be required, in favour of Transferee Company.

It is hereby provided that all documents executed and/or filed including but not limited to documents related to charges, encumbrance or right, whether or not registered with any appropriate Authority (including Registrar of Companies) or any other person as regards the transfer and vesting of assets of Transferor Company, shall be deemed to have been executed and/or filed and/or registered by Transferee Company, and Transferee Company shall not be required to execute and/or perform any further act, instrument or deed separately. Further, where any document in case any encumbrance, charge and/or right created by Transferor Company with respect to the assets mentioned in this Clause, is transferred to or replaced by Transferee Company, no duty (including stamp duty), levy and/or cess of any nature will be payable by Transferee Company at the time of transfer of the encumbrance, charge and/or right and the duty and other


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levies already paid by Transferor Company shall be deemed to have been paid by Transferee Company

All the assets and properties which are acquired by Transferor Company, on or after the Appointed Date but prior to the Effective Date shall be deemed to be and shall become the assets and properties of Transferee Company and shall upon sanction of this Scheme, without any further act, instrument or deed, be assets and properties acquired by Transferee Company.

- 4.2.6. Upon the coming into effect of the Scheme and with effect from the Appointed Date, all debts, liabilities, loans, borrowings, bills payable, deposits, security deposits, interest accrued, duties and obligations of the Transferor Company including contingent liabilities not provided in its books and any accretions and additions or reductions thereto after the Appointed Date shall also stand transferred or be deemed to be transferred without any further act or instrument or deed to the Transferee Company so as to become as and from that date, the debts, liabilities, loans, borrowings, bills payable, deposits, security deposits, interest accrued, duties and obligations of the Transferee Company and further that it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such debts, liabilities, duties and obligations have arisen in order to give effect to the provisions of this Clause.

However, the Transferee Company may, at any time, after the coming into effect of this Scheme in accordance with the provisions hereof, if so required, under any law or otherwise, execute deeds of confirmation in favour of the secured creditors of the Transferor Company or in favour of any other party to any contract or arrangement to which the Transferor Company is a party or any writings, as may be necessary, to be executed in order to give formal effect to the above provisions. The Transferee Company shall under the provisions of the Scheme be deemed to be authorized to execute any such writings on behalf of the Transferor Company to implement or carry out all such formalities or compliances referred to above on the part of the Transferor Company to be carried out or performed.

- 4.2.7. All the loans, advances and other facilities sanctioned to the Transferor Company by its bankers prior to the Appointed Date, which are partly drawn/ utilised shall be deemed to be the loans and advances sanctioned to the Transferee Company and the said loans and advances shall be drawn/ utilised either partly or fully by the Transferor Company from the Appointed Date till the Effective Date and all the advances /loans and or other facilities so drawn by the Transferor Company (within the overall limits sanctioned by their bankers) shall on the Effective Date be treated as advances and loans made available to the Transferee Company under any loan agreement and shall become the obligation of the Transferee Company without any further act, or deed on the part of the Transferee Company.

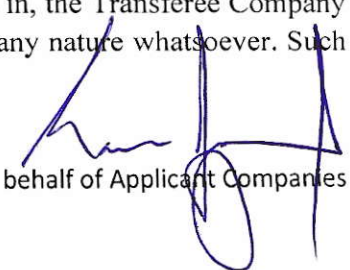

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- 4.2.8. Upon the coming into effect of this Scheme, the limits of the Transferee Company for borrowing, lending, providing loans and advances, investments or providing guarantees or giving donations, shall without further act or deed stand enhanced by an amount equivalent to the combined authorised limits of the Transferor Company, such limits being incremental to the existing limits of the Transferee Company.
- 4.2.9. Upon the Scheme coming into effect, all taxes/ cess/ duties, direct and/or indirect, payable by or on behalf of the Transferor Company from the Appointed Date onwards including all or any refunds and claims, including refunds or claims pending with the Revenue Authorities and including the right to carry forward and set-off of accumulated losses (i.e. unabsorbed losses) under the Income-tax Act, 1961, shall, for all purposes, be treated as the tax/ cess/ duty, liabilities or refunds, claims, accumulated losses and credits pertaining to indirect taxes such as cenvat credit, VAT credit or any other input credit under any Statute etc of the Transferee Company.
- 4.2.10. All the licenses, permits, approvals, permissions, registrations, incentives, tax deferrals, tax concessions, credits, and benefits, subsidies, concessions, grants, rights, claims, leases, tenancy rights, liberties, special status and other benefits or privileges enjoyed or conferred upon or held or availed of by the Transferor Company and all rights and benefits that have accrued or which may accrue to the Transferor Company, whether before or after the Appointed Date, shall, under the provisions of Sections 230 to 232 and all other applicable provisions, if any, of the Act, without any further act, instrument or deed, cost or charge be and stand transferred to and vest in or be deemed to be transferred to and vested in and be available to the Transferee Company so as to become as and from the Appointed Date licenses, permits, approvals, permissions, registrations, incentives, tax deferrals, tax concessions, credits and benefits, subsidies, concessions, grants, rights, claims, leases, tenancy rights, liberties, special status and other benefits or privileges of the Transferee Company and shall remain valid, effective and enforceable on the same terms and conditions. If the terms of licenses, lease, deeds, permits, quotas, approvals, permissions of the Transferor Company are such that they cannot be transferred / assigned / endorsed in the name of the Transferee Company and / or any of the concerned authorities specifically direct the Transferee Company to make a fresh application, in such scenarios, the Transferee shall comply with the necessary directions including but not limited to making a fresh application or such other application as may be directed by the concerned authority for the desired transfer of licenses, permits, quotas, approvals, permissions, etc. in the name of the Transferee Company and pending the requisite fresh approvals, permissions, consents, etc, the Transferee Company shall, to the extent permissible under the law, be allowed to continue to use the existing approvals, consents, permissions, etc issued in the name of the Transferor Company.
- 4.2.11. The resolutions, if any, of the Board of Directors, or Committees thereof, Shareholders of the Transferor Company which are valid and subsisting on the Effective Date shall

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be continued to be valid and subsisting and be considered as resolutions of the Transferee Company and if any such resolutions have upper monetary or other limits being imposed under the provisions of the Act, or any other applicable legislations then said limits shall be added and shall constitute the aggregate of the said limits of the Transferee Company.

- 4.2.12. Upon the Scheme becoming effective and with effect from the Appointed date, all consents, permissions, certificates, permits, quotas, rights, entitlements, licences, accreditations to trade and industrial bodies, privileges, powers, facilities, authorities (including operation of bank accounts), power of attorneys given by, issued to or executed in favour of the Transferor Company, quality certifications and approvals, trademarks, patent industrial designs and trade secrets, product registrations, and other intellectual property and any other intangible, subsidies, rehabilitation schemes, special status and other benefits or privileges (granted by any Government body, local authority or by any other person) of every kind and description of whatsoever nature in relation to the Transferor Company may be eligible, or having effect in favour of the Transferee Company, and may be enforced fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a beneficiary there to.
- 4.2.13. In so far as the various incentives, subsidies, special status and other benefits or privileges enjoyed, granted by any Government body, local authority or by any other person and availed of by the Transferor Company are concerned, the same shall vest with, and be available to, the Transferee Company on the same terms and conditions.
- 4.2.14. Loans, debentures and other obligations, if any, due between or amongst the Transferor Company and the Transferee Company shall stand discharged and there shall be no liability in that behalf. In so far as any shares, securities, debentures, or notes issued by the Transferor Company, and held by the Transferee Company and vice versa, the same shall, unless sold or transferred by the said Transferor Company or the Transferee Company, as the case may be, at any time prior to the Effective Date, stand cancelled as on the Effective Date and shall have no effect and the Transferor Company or the Transferee Company, as the case may be, shall have no further obligation outstanding in that behalf.
- 4.2.15. Where any of the liabilities and obligations/assets attributed to the Transferor Company on the Appointed Date has been discharged/sold by the Transferor Company after the Appointed Date and prior to the Effective Date, such discharge/sale shall be deemed to have been for and on behalf of the Transferee Company.
- 4.2.16. The entitlement to various benefits under incentive schemes and policies in relation to the Undertaking of the Transferor Company shall stand transferred to and be vested in, and/or be deemed to have been transferred to, and vested in, the Transferee Company together with all benefits, entitlements and incentives of any nature whatsoever. Such


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entitlements shall include (but shall not be limited to) income-tax, unexpired credit for minimum alternate tax, sales tax, value added tax, turnover tax, services tax, customs, Goods and services Tax and other incentives in relation to the Undertaking of the Transferor Company to be claimed by the Transferee Company with effect from the Appointed date as if the Transferee Company was originally entitled to all such benefits under such incentive scheme and/or policies, subject to continued compliance by the Transferee Company of all the terms and conditions subject to which the benefits under such incentive schemes were made available to the Transferor Company.

4.2.17. On and from the Effective Date, and thereafter, the Transferee Company shall be entitled to operate all bank accounts, demat accounts, if any, of the Transferor Company and realize all monies and complete and enforce all pending contracts and transactions and to accept stock returns and issue credit notes in respect of the Transferor Company in the name of the Transferee Company in so far as may be necessary until the transfer of rights and obligations of the Transferor Company to the Transferee Company under this Scheme have been formally given effect to under such contracts and transactions.

4.2.18. For avoidance of doubt and without prejudice to the generality of any applicable provisions of this Scheme, it is clarified that with effect from the Effective Date and till such times the name of the bank accounts of the Transferor Company would be replaced with that of the Transferee Company, the Transferee Company shall be entitled to operate the bank accounts of the Transferor Company in the name of the Transferor Company in so far as may be necessary. All cheques and other negotiable instruments, deposit slips, payment orders received or presented for encashment which are in the name of the Transferor Company after the Effective Date shall be accepted by the bankers of the Transferee Company and credited to the account of the Transferee Company, if presented by the Transferee Company. The Transferee Company shall be allowed to maintain bank accounts in the name of Transferor Company by the Transferee Company for such time as may be determined to be necessary by the Transferee Company for presentation and deposition of cheques and pay orders that have been issued in the name of the Transferor Company. It is hereby expressly clarified that any legal proceedings by or against the Transferor Company in relation to cheques and other negotiable instruments, payment orders received or presented for encashment which are in the name of the Transferor Company shall be instituted, or as the case may be, continued, by or against, the Transferee Company after the coming into effect of the Scheme.

5. LEGAL PROCEEDINGS

5.1. All suits, actions, claims and legal proceedings of whatsoever nature by or against the Transferor Company pending and/or arising at the Appointed Date and relating to the Transferor Company or its properties, assets, debts, liabilities, duties and obligations referred to above, shall be continued and/or enforced until the Effective Date in the

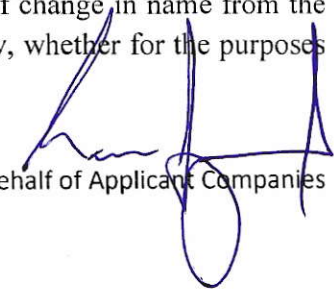

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name of the Transferor Company and as and from the Effective Date shall be continued and enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company. On and from the Effective Date, the Transferee Company shall and may, if required, have the right to initiate, defend, compromise or otherwise deal with any legal proceedings relating to the Transferor Company and / or its Undertaking in its name in the same manner and to the same extent as would, or might, have been initiated by the Transferor Company. If any suit, appeal or other proceedings relating to the Undertaking, of whatever nature by or against the Transferor Company be pending, the same shall not abate or be discontinued or in any way be prejudicially affected by reason of the amalgamation of the Undertaking or by anything contained in this Scheme but the proceedings may be continued, prosecuted and enforced by or against the Transferee Company in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against the Transferor Company as if this Scheme had not been made

- 5.2. Transferee Company undertake to have all legal or other proceedings initiated by or against Transferor Company to its name as soon as is reasonably possible after the Effective Date and to have the same continued, prosecuted and enforced by or against Transferee Company.

6. CONTRACTS, DEEDS, BONDS AND OTHER INSTRUMENTS

- 6.1. Subject to the other provisions contained in the Scheme, all contracts, deeds, bonds, agreements, lease or sub-lease arrangements, leave and license agreements, certificates, concessions, remedies, guarantees, insurance policies, incentives, licenses, approvals to do any business, engagements, registrations, exemptions, entitlements, arrangements and other instruments of whatsoever nature to which the Transferor Company is a party or the benefit to which the Transferor Company may be eligible, subsisting or having effect immediately before this arrangement under this Scheme, shall be, in full force and effect, against or in favour of the Transferee Company as the case may be, and may be enforced as fully and as effectively as if instead of the Transferor Company, the Transferee Company had been a party thereto without the requirement of obtaining or seeking consent or approval of any third party or Government, Semi Government or Local Authorities or any Department of the Government or Authorities. The Transferee Company shall enter into and/or issue and/or execute deeds, writings or confirmation or enter into any tripartite arrangement, confirmations or novation to which the respective Transferor Company will, if necessary, also be party in order to give formal effect to the provisions of this clause, if so required or become necessary.
- 6.2. As a consequence of the Amalgamation of the Transferor Company with the Transferee Company in accordance with this Scheme, the recording of change in name from the respective Transferor Company to the Transferee Company, whether for the purposes


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of any licence, permit, approval or any other reason, or whether for the purposes of any transfer, registration, mutation or any other reason, shall be carried out by the concerned statutory or regulatory or any other authority without the requirement of payment of any transfer or registration fee or any other charge or imposition whatsoever.

6.3. The Transferee Company may, at any time, after the coming into the effect of this Scheme in accordance with the provisions hereof, if so required, under any law or otherwise, execute deeds of confirmation in favour of any party to any contract or arrangement to which the Transferor Company is a party or any writings, as may be necessary, to be executed in order to give formal effect to the above provisions. The Transferee Company shall, under the provisions of the Scheme, be deemed to be authorised to execute any such writings on behalf of the Transferor Company, implement or carry out all such formalities or compliances referred to above on the part of the Transferor Company, as the case may be, to be carried out or performed.

6.4. For the removal of doubts, it is expressly made clear that the dissolution of the Transferor Company without the process of winding up as contemplated hereinafter, shall not, except to the extent set out in the Scheme, affect the previous operation of any contract, agreement, deed or any instrument or beneficial interest to which the Transferor Company is a party thereto and shall not affect any right, privilege, obligations or liability, acquired, or deemed to be acquired prior to Appointed Date and all such references in such agreements, contracts and instruments to the Transferor Company shall be construed as reference only to the Transferee Company with effect from the Appointed Date.

6.5. Upon scheme becoming effective from the Effective Date, all inter-party transactions between the Transferor Company and the Transferee Company, if any, shall be considered as intra-party transactions for all purposes entered with effect from the Appointed Date.

7. EMPLOYEES

7.1. Upon the Scheme becoming effective, all the employees in the service of the Transferor Company immediately before the Effective Date shall become the employees of the Transferee Company, on the basis that:

7.1.1. Their services shall have been continuous and shall not have been interrupted by reason of such transfer.

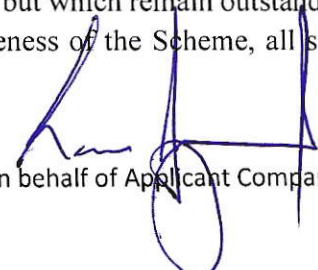
7.1.2. The terms and conditions of employment applicable to the said employees after such transfer shall not in any way be less favourable to them than those applicable to them immediately before the transfer


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- 7.1.3. In the event of retrenchment of such employees, the Transferee Company shall be liable to pay compensation in accordance with law on the basis that the services of the employees shall have been continuous and shall not have been interrupted by reason of such transfer; and
- 7.1.4. In so far as the existing provident fund trusts, gratuity fund and pension and / or superannuation fund trusts created by the Transferor Company for its employees is concerned, the part of the funds referable to the employees who are being transferred shall be continued for the benefit of the employees who are being transferred to the Transferee Company pursuant to the Scheme in the manner provided hereinafter. In the event that the Transferee Company has its own funds in respect of any of the funds referred to above, the amounts in such funds in respect of contributions pertaining to the employees of the Transferor Company shall, subject to approvals and permissions, if required, be transferred to the relevant funds of the Transferee Company. In the event that the Transferee Company does not have its own fund, in respect of any of the aforesaid matters, the Transferee Company may, subject to approvals and permissions, if required, continue to contribute to the relevant funds of the Transferor Company until such time that the Transferee Company creates its own fund, at which time the contributions pertaining to the employees of the Transferor Company shall be transferred to the funds created by the Transferee Company. Provided however that, the Transferee Company shall be at liberty to form or restructure its provident fund trusts, gratuity fund and pension and/or superannuation fund trusts in such manner as may be decided by its Board of Directors, subject to compliance of relevant labour laws and any other allied laws for the purpose.

8. EMPLOYEE STOCK OPTION SCHEME

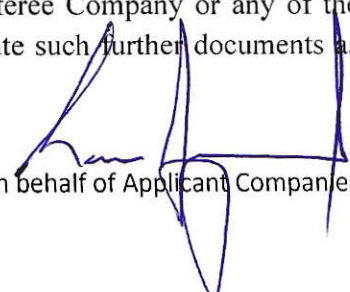
- 8.1. In respect of the Transferor Company Stock Options granted by the Transferor Company under the Transferor Company ESOP Scheme and which have vested in accordance therewith but which are outstanding and have not been exercised as on the Record Date, upon the effectiveness of the Scheme, all such Transferor Company Stock Options shall automatically stand cancelled and the Transferee Company shall issue Transferee Company Stock Options to all such holders of the Transferor Company Stock Option, taking into account the Share Exchange Ratio. The exercise price payable for such Transferee Company Stock Options shall be as adjusted after taking into account the effect of the Share Exchange Ratio.
- 8.2. In respect of the Transferor Company Stock Options granted by the Transferor Company under the Transferor Company ESOP Scheme but which remain outstanding and unvested as on the Record Date, upon the effectiveness of the Scheme, all such


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Transferor Company Stock Options shall automatically stand cancelled and the Transferee Company shall issue Transferee Company Stock Options to all such holders of the Transferor Company Stock Option, taking into account the Share Exchange Ratio. The vesting price and exercise price payable for such Transferee Company Stock Options shall be as adjusted after taking into account the effect of the Share Exchange Ratio.

- 8.3. The Transferee Company Stock Options to be issued pursuant to Clause 8.1 and Clause 8.2 above may be issued by the Transferee Company either under any of its existing Transferee Company ESOP Scheme or a revised stock option Scheme for the employees of the Transferee Company and the holders of the Transferor Company Stock Options or under a separate employee stock option Scheme created by the Transferee Company inter alia for the purpose of granting stock options to the holders of the Transferor Company Stock Options pursuant to this Scheme ("Transferee Company Stock Option Scheme"), on the same terms and conditions (including vesting period and conditions), as set out in the Transferor Company ESOP Scheme, or such other terms and conditions as approved by the Transferee Company which are no less favourable than those provided under the Transferor Company ESOP Scheme, subject to Applicable Laws. Further, fractional entitlements, if any, arising pursuant to the applicability of the Share Exchange Ratio as set out in Clause 8.1 and Clause 8.2 above shall be rounded off to the nearest higher integer.
- 8.4. The grant of Transferee Company Stock Options pursuant to this Scheme shall be effected as an integral part of the Scheme and the approval of the shareholders of the Transferee Company to this Scheme shall be deemed to be their consent in relation to all matters pertaining to the Transferee Company Stock Option Scheme, including without limitation, for the purposes of creating the Transferee Company Stock Option Scheme and / or modifying the Transferee Company Stock Option Scheme (including increasing the maximum number of equity shares that can be issued consequent to the exercise of the Transferee Company Stock Options granted under the Transferee Company ESOP Scheme, and / or modifying the exercise price of the Transferee Company Stock Options under the Transferee Company Stock Option Scheme), and all related matters. No further approval of the shareholders of the Transferee Company would be required in this connection under Applicable Law.
- 8.5. In relation to the ESOP granted by the Transferee Company to the Eligible Employees under the Transferee Company ESOP Scheme, the period during which the options granted by the Transferor Company under Transferor Company ESOP Scheme were held by or deemed to have been held by the Eligible Employees shall be taken into account for determining the vesting period.
- 8.6. The Boards of the Transferor Company and the Transferee Company or any of the committee(s) thereof, shall take such actions and execute such further documents as

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may be necessary or desirable for the purpose of giving effect to the provisions of this Clause of the Scheme.

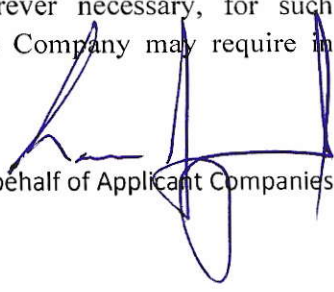
9. SAVING OF CONCLUDED TRANSACTIONS

- 9.1. The transfer of assets and liabilities under Clause 4 above, the continuance of proceedings by or against the Transferee Company under Clause 5 above and the effectiveness of contracts and deeds under Clause 6 above shall not affect any transaction or proceedings or contracts or deeds already concluded by the Transferor Company on or before the Appointed Date and after the Appointed Date till the Effective Date, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by the Transferor Company in respect thereto as done and executed on behalf of itself.

10. CONDUCT OF BUSINESS OF THE TRANSFEROR COMPANY TILL EFFECTIVE DATE

With effect from the Appointed Date and up to and including the Effective Date:

- 10.1. The Transferor Company shall carry on, and be deemed to have been carrying on, all business activities and shall be deemed to have been held for and on account of, and in trust for, the Transferee Company.
- 10.2. All profits or income or taxes, including but not limited to income tax, fringe benefit tax, advance taxes, minimum alternate tax, tax deducted at source ('TDS') by or on behalf of the Transferor Company, wealth tax, sales tax, value added tax, excise duty, service tax, customs duty, goods and service tax etc, accruing or arising to the Transferor Company, or losses arising or expenditure incurred by them, on and from Appointed Date upto the Effective Date, shall for all purposes be treated as, and be deemed to be treated as, the profits or income or losses or expenditure or the said taxes of the Transferee Company.
- 10.3. The Transferor Company shall carry on its business activities with proper prudence and diligence and shall not, without prior written consent of the Transferee Company, alter, alienate, charge or otherwise deal with or dispose off any of the business undertaking or any part thereof (except in the ordinary course of business or pursuant to any pre-existing obligations undertaken by the Transferor Company prior to the Appointed Date).
- 10.4. The Transferee Company shall also be entitled, pending sanction of the Scheme, to apply to the Central Government, State Government, and all other agencies, departments and statutory authorities concerned, wherever necessary, for such consents, approvals and sanctions which the Transferee Company may require in


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relation to the Undertaking of the Transferor Company including the registration, approvals, exemptions, reliefs, etc., as may be required / granted under any law for time being in force for carrying on business by the Transferee Company.

- 10.5. The Transferor Company shall not utilize the profits or income, if any, for the purpose of declaring or paying any dividend (whether final or interim) or for any other purpose declare any dividend, between the Appointed Date and the Effective Date, without the prior written consent of the Transferee Company.
- 10.6. The Transferor Company shall not make any modification to its capital structure, either by an increase (by issue of rights shares, bonus shares, convertible debentures or otherwise), decrease, reclassification, sub-division or re-organisation or in any other manner, whatsoever, except by mutual consent of the Boards of Directors of the Transferor Company and of the Transferee Company.
- 10.7. The Transferor Company shall not vary, except in the ordinary course of business, the terms and conditions of the employment of its employees without the consent of the Board of Directors of the Transferee Company.

11. CONSIDERATION

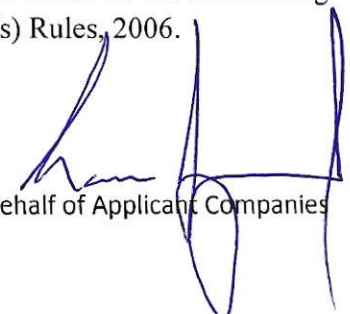
- 11.1. Upon the Scheme becoming fully effective, in consideration of the transfer and vesting of the Undertakings of the Transferor Company in the Transferee Company in terms of the Scheme, the Transferee Company shall without any further applications, act, instrument or deed, issue and allot to the equity shareholders of the Transferor Company (except where Transferee Company itself or its nominee is a shareholder in the Transferor Company) whose names are recorded in the register of members of the Transferor Company, (the 'Members') on the Record Date, equity shares in the following manner:
 - 11.1.1. 1 (one) Equity shares of 10 each (Rupees 10 only) fully paid up in the Transferee Company for every 70 (seventy) equity shares of Rs. 10 (Rupees Ten only) each fully paid up held in the Transferor company ("**Share Exchange Ratio**").
- 11.2. In respect of the equity shares in the Transferor Company already held in dematerialized form, the new equity shares to be issued by the Transferee Company in lieu thereof shall also be issued in dematerialized form with the new equity shares being credited to the existing depository accounts of the members of the Transferor Company entitled thereto.
- 11.3. The fraction of share, if any, less than 1/2 of an Equity share shall be ignored and fraction of equal to or more than 1/2 of an Equity share shall be treated as one share for the purpose of allotment.


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- 11.4. Upon Equity Shares being issued and allotted by the Transferee Company to the shareholders of the Transferor Company, in accordance with Clause 11.1, the share certificates in relation to the shares held by the said shareholders in the Transferor Company shall be deemed to have been cancelled and extinguished and be of no effect on and from such issue and allotment.
- 11.5. The said equity shares to be issued and allotted by the Transferee Company shall be subject to Memorandum of Association & Articles of Association of the Transferee Company and shall rank pari passu in all respects from the date of allotment in terms of this scheme, with the existing equity shares of the Transferee Company, with all rights thereto, and shall be entitled to full dividend, if any, which may be declared by the Transferee Company after the effective date of the scheme.
- 11.6. In the event of there being any pending share transfer, whether lodged or outstanding, of any shareholder of the Transferor Company, the Board of Directors or any committee thereof of the Transferee Company at its sole discretion shall be empowered in appropriate circumstances, even subsequent to the Record Date or the Effective Date, as the case may be to effectuate such a transfer in the Transferee Company as if such changes in the registered holders were operative on the Record Date, in order to remove any difficulties arising to the transfer of the share in the Transferee Company and in relation to any new shares, after the Scheme becomes effective. The Board of Directors of the Transferee Company shall be empowered to remove such difficulties as may arise in the course of implementation of the Scheme and registration of new members in the Transferee Company on account of the difficulties if any in the transition period.
- 11.7. Approval of this Scheme by the shareholders of the Transferee Company shall be deemed to mean that the said shareholders have also accorded all relevant consents under Section 62 of the Companies Act, 2013 and the other relevant and applicable provisions of the Act for the issue and allotment of Equity shares by the Transferee Company to a shareholder of the Transferor Company to the extent the same may be considered applicable.

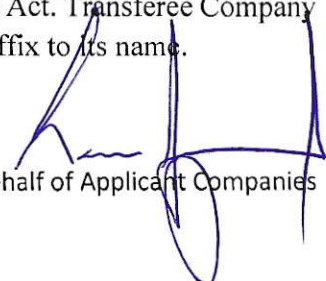
12. ACCOUNTING TREATMENT

- 12.1. Pursuant to the Scheme coming to effect on the Effective date, the Transferee Company shall account for the Scheme in the books of accounts in accordance with the Accounting Standards in the following manner:
- 12.1.1. The Transferee Company shall account for the reduction of capital in its books and shall adopt Pooling Method of accounting for Amalgamation, in terms of the Accounting Standard (AS) 14 of The Companies (Accounting Standards) Rules, 2006.


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- 12.1.2. The Transferee Company shall credit the aggregate face value of the shares to be issued to the shareholders of the Transferor Company pursuant to Clause 11 of the Scheme to Share Capital Account in its books of account.
- 12.1.3. With effect from the Appointed Date and subject to the provisions hereof and such other corrections and adjustments as may, in the opinion of the Board of Directors of the Transferee Company be required, all the assets and liabilities of the Transferor Company transferred to the Transferee Company pursuant to this Scheme shall be recorded in the books of the Transferee Company at their carrying amount (i.e. Book Value) as appearing in the books of accounts of the Transferor Company.
- 12.1.4. The balance of the Profit and Loss Account appearing in the financial statements of the Transferor Company will be aggregated with the corresponding balance appearing in the financial statements of the Transferee Company or transferred to general reserve, if any, of the Transferee Company.
- 12.1.5. With effect from the Appointed Date and upon the Scheme becoming effective, subject to any corrections and adjustments as may in the opinion of the board of directors of the Transferee Company be required, the reserves of the Transferor Company shall be merged with those of the Transferee Company in the same form as they appeared in the financial statements of the Transferor Company.
- 12.1.6. Upon the Scheme become effective, the Transferee Company shall determine the difference between (i) the amount recorded as share capital issued (which shall be issued and recorded at the face value i.e., at par, as fully paid up shares) by the Transferee Company and (ii) the amount of share capital of the Transferor Company. The difference between the share capital of Transferor Company and nominal value of shares issued by Transferee Company pursuant to Clause 11 of the Scheme to the Shareholders of Transferor Company and cancellation of inter-company investment held by Transferee Company in Transferor Company shall be adjusted by the Transferee Company to its securities premium account.

The cancellation and reduction in paid up share capital and utilization of securities premium account, being consequential in nature, is proposed to be effected as an integral part of the Scheme. The approval of shareholders and creditors of the Transferee Company to this Scheme shall be deemed to be their approval under provision of section 52 read with section 66 and all other applicable provisions of the Act and Transferee Company shall not be required to undertake any separate proceedings/ compliances for the same. The approval of NCLT to this Scheme shall be sufficient and no separate order under section 66 of the Act would be required. Accordingly, Transferee Company shall not be required to separately comply with section 52 read with section 66 or any other provisions of the Act. Transferee Company shall not be required to add the words "and reduced" as a suffix to its name.


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- 12.1.7. The inter-corporate deposits/ debentures / inter-company investments / inter company balances / loans and advances, receivables / payables, if any, outstanding as on the Appointed Date between the Transferee Company and Transferor Company shall stand cancelled and there shall be no further obligation/outstanding in that behalf;
- 12.1.8. Subject to any corrections and adjustments as may, in the opinion of the Board of Directors of the Transferee Company, be required and except to the extent otherwise by law required, the reserves of the Transferor Companies, if any, will be merged with the corresponding reserves of the Transferee Company.
- 12.1.9. In case of any differences in accounting policy between the Transferor Company and the Transferee Company, the accounting policies followed by the Transferee Company will prevail and the impact of the same till the Appointed Date will be quantified and adjusted in the general reserves of the Transferee Company to ensure that the financial statements of the Transferee Company reflect the financial position on the basis of consistent accounting policy.

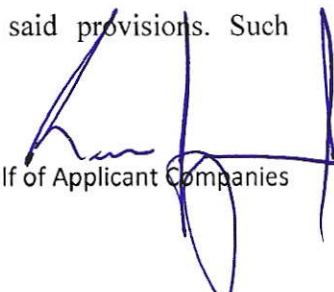
13. TREATMENT OF TAXES

13.1. Upon the scheme becoming effective:

- 13.1.1. This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under the tax laws, including Section 2(1B) and other relevant sections of the Income Tax Act, 1961, which include the following:
- a. all the property of the Transferor Company immediately before the amalgamation becomes the property of the Transferee Company by virtue of the amalgamation;
 - b. all the liabilities of the Transferor Company immediately before the amalgamation become the liabilities of the Transferee Company by virtue of the amalgamation;
 - c. shareholders holding not less than three-fourths in value of the shares in the Transferor Company (other than shares already held therein immediately before the amalgamation by, or by a nominee for, the Transferee Company or its subsidiary) become shareholders of the Transferee Company by virtue of the amalgamation, otherwise than as a result of the acquisition of the property of one company by the other company pursuant to the purchase of such property by the other company or as a result of the distribution of such property to the other company after the winding up of the first mentioned company.

If any terms or provisions of the Scheme are found to be or interpreted to be inconsistent with any of the said provisions at a later date, whether as a result of any amendment of law or any judicial or executive interpretation or for any other reason whatsoever, the aforesaid provisions of the tax laws shall prevail. The Scheme shall then stand modified to the extent determined necessary to comply with the said provisions. Such

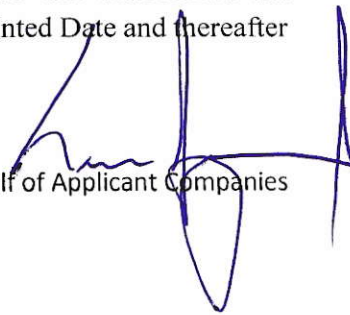
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modification will however not affect other parts of the Scheme. The power to make such amendments as may become necessary shall vest with the Board of Directors of the Transferor Companies and the Transferee Company, which power shall be exercised reasonably in the best interests of the companies concerned.

- 13.1.2. Upon the Effective Date and with effect from the Appointed Date all taxes (including but not limited to advance , tax deducted at source, minimum alternate tax credits, goods and service tax, value added tax, sales tax, service tax, excise duty, customs, entry tax, local body tax, etc.) paid, payable by or refundable to the Transferor company, including all or any refunds or claims shall be treated as having been paid or, as the tax liability or refunds/claims, as the case may be, by/of the Transferee Company and any tax incentives, privileges, exemptions, credits, holidays, remissions, reductions etc., as would have been available to the Transferor company, shall be available to the Transferee Company.
- 13.1.3. Upon the Effective Date and with effect from the Appointed Date, the obligation for deduction of tax at source on any payment made by or to be made by the Transferor company under the Income Tax Act, 1961, or other compliances under income-tax laws, service tax laws, customs law, excise law, central sales tax, state value added tax laws or other applicable laws/ regulations dealing with taxes/ duties / levies shall be made or deemed to have been made and duly complied with by the Transferee Company.
- 13.1.4. Without prejudice to the generality of the above, all benefits, incentives, losses, credits (including, but not limited to income-tax, minimum alternate tax on book profits, fringe benefit tax, wealth tax, service tax, CENVAT, excise duty, custom duty, value added tax, etc.) to which the Transferor company are entitled to in accordance with applicable laws, shall be available to and vest in the Transferee Company. Subject to provisions of the applicable law, all the transactions of purchase or sale of goods and procurement or rendition of services between the Transferor company or between the Transferee Company and the Transferor company shall not be treated as transactions between two separate entities and consequently, the Transferee Company shall be entitled to claim refund of the taxes so paid on such transactions as it may deem fit.
- 13.1.5. The Transferee Company shall be entitled to file/ revise its income tax, goods and service tax, value added tax, sales, central sales tax, excise and service tax returns and other statutory returns/ filings/ records, if required, and shall have the right to claim refunds, CENVAT credit, value added tax credit, advance tax credits, minimum alternate tax credits, or any other credits etc., if any as may be required consequent to this Scheme becoming effective.
- 13.1.6. Upon the Scheme becoming effective, unabsorbed tax losses and unabsorbed tax depreciation of the Transferor Companies, if any, till the Appointed Date and thereafter

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in the manner provided under this Scheme, would accrue to the Transferee Company in accordance with the provisions of the Income Tax Act, 1961.

- 13.1.7. During the period between the Appointed Date and the Effective Date, the Transferor company shall continue to do all acts necessary and in connection with all tax assessment proceedings/appeals of whatsoever nature, pending and/or arising by or against the Transferor company. With effect from the Effective Date, the tax proceedings shall be continued and enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company.
- 13.1.8. The expenses incurred by Transferor Companies and Transferee Company in relation to Amalgamation as per the terms and conditions of this Scheme, including stamp duty expenses, if any, shall be allowed as deduction to Transferee Company in accordance with section 35DD of the Income-tax Act, 1961.
- 13.1.9. Upon the Scheme becoming effective, any TDS deposited, TDS certificates issued or TDS returns filed by Transferor Company shall continue to hold good as if such TDS amounts were deposited, TDS certificates were issued and TDS returns were filed by Transferee Company. Any TDS deducted by, or on behalf of Transferor Company on inter se transactions will be treated as advance tax deposited by Transferee Company.
- 13.1.10. All expenses incurred by Transferor Company under Section 43B of the Income Tax Act, 1961, in relation and pertaining to its business, shall be claimed as a deduction by Transferee Company and the transfer of the entire business shall be considered as succession of business by Transferee Company.
- 13.1.11. Any refund under the Tax laws due to Transferor Company consequent to the assessments made on Transferor Company shall also belong to and be received by Transferee Company. The relevant authorities shall be bound to transfer to the account of and give credit for the same to Transferee Company upon the passing of the orders on this Scheme by the NCLT upon relevant proof and documents being provided to the said authorities.
- 13.1.12. All the tax liabilities under the Income Tax Act, 1961, Goods and Service Tax Act 2017 and other applicable laws/regulations dealing with taxes/duties/levies ("Tax Laws") allocable or related to the business of the Transferor company shall be transferred to the Transferee Company.
- 13.1.13. Without prejudice to the foregoing, with effect from the Appointed Date, all inter-party transactions between Transferee Company and Transferee Company shall be considered as intra-party transactions for all purposes.


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14. CANCELLATION OF EXISTING SHARES OF TRANSFeree COMPANY

- 14.1. Shares, if any, held by the Transferor Company in the share capital of the Transferee Company or vice-versa as on the Effective Date shall stand cancelled, without any further act or deed, upon this Scheme becoming effective and the share capital of the Transferee Company shall stand reduced to the said extent. In lieu thereof no allotment of any new shares or any payment shall be made to any person whatsoever.
- 14.2. The aforesaid cancellation of existing paid up share capital of the Transferee Company shall be effected as an integral part of this Scheme.
- 14.3. Approval of this Scheme by the shareholders and/or creditors of the Transferor Company and the Transferee Company, as the case may be, and sanction by the Tribunal under Sections 230 to 232 of the Act shall be sufficient compliance with the provisions of Section 66 of the Act and other applicable provisions, if any.

15. DISSOLUTION OF TRANSFEROR COMPANY

- 15.1. Subject to an order being made by the Tribunal under the provisions of Section 232 of the Act, the Transferor Company shall be dissolved without the process of winding up on the Scheme becoming effective in accordance with the provisions of the Act and the Rules made thereunder.

16. MERGER OF AUTHORIZED SHARE CAPITAL

- 16.1. Upon the Scheme becoming effective and with effect from the Appointed Date, the authorized share capital of Transferor Company shall stand transferred to and combined with the authorized share capital of the Transferee Company.
- 16.2. Upon the Scheme coming into effect and with effect from the Appointed Date, (and consequent to transfer of the existing authorized share capital of Transferor Company in accordance with Clause 16.1 above), the authorized share capital of the Transferee Company shall stand enhanced by the entire authorized share capital of Transferor Company so transferred. Accordingly, Clause V of the Memorandum of Association of the Transferee Company shall, without any further act, instrument or deed, stand modified and reclassified as necessary.
- 16.3. The filing fees and stamp duty already paid by Transferor Company on its Authorized Share Capital, which is being transferred to the Transferee Company in terms of this

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clause, shall be deemed to have been so paid by the Transferee Company on the combined Authorized Share Capital and accordingly, the Transferee Company shall not be required to pay any fee/ stamp duty on the Authorized Share Capital so increased. However, the Transferee Company shall file the amended copy of its Memorandum and the Articles of Association with the Registrar of Companies and the Registrar of Companies shall take the same on record.

- 16.4. It is hereby clarified that no further resolution under sections 13, 14, 61 and 64 or any other applicable provisions of the Act, would be required to be separately passed, nor any additional registration fee, stamp duty, etc, be payable by the Transferee Company.


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**PART V GENERAL TERMS AND CONDITIONS APPLICABLE TO THE ENTIRE
SCHEME**

**17. APPLICATION TO THE NATIONAL COMPANY LAW TRIBUNAL,
BENGALURU BENCH**

The Transferor Company and the Transferee Company shall, with reasonable dispatch, apply to the Tribunal for necessary orders or directions for holding or dispensing with the meetings of the members (and creditors, if necessary) of the Transferor Company and the Transferee Company respectively and for sanctioning this Scheme under Sec. 230 to 232 of the Act and orders under Sec 232 of the Act for carrying this Scheme into effect, for dissolution of the Transferor Company without winding up, for the transfer of the Undertaking of the Transferor Company to the Transferee Company.

18. MODIFICATIONS/AMENDMENTS TO THE SCHEME

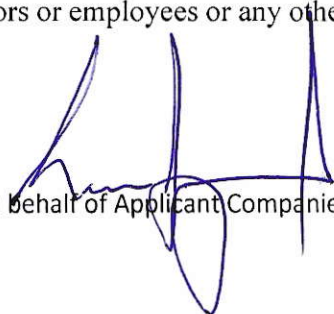
18.1. The Transferor Company and the Transferee Company through their respective Board of Directors or other persons, duly authorised by the respective Boards in this regard, may make or assent to any alteration or modification to this Scheme or to any conditions or limitations, which the Tribunal or any other Competent Authority may deem fit to direct, approve or impose and may give such directions, as they may consider necessary, to settle any doubt, question or difficulty, arising under the Scheme or in regard to its implementation or in any manner connected therewith and to do all such acts, deeds, matters and things necessary for putting this Scheme into effect.

18.2. After dissolution of the Transferor Company, the Transferee Company by its Board of Directors or other persons, duly authorised by its Board in this regard, shall be authorised, to take such steps, as may be necessary, desirable or proper to resolve any doubts, difficulties or questions, whether by reasons of any order of the Tribunal or of any directive or order of any other authorities or otherwise, however, arising out of, under by virtue of this Scheme in relation to the Amalgamation and/ or matters concerning or connected therewith.

19. SCHEME CONDITIONAL ON APPROVALS / SANCTIONS

19.1. This Scheme is conditional upon and subject to the approval of the requisite majority of members of the respective Transferor Company and the Transferee Company, the sanction of the Tribunal, and such other sanctions and approvals as may be required by law being obtained.

19.2. In the event of the Scheme failing to take finality, the Scheme shall become null and void and in that event, no rights and liabilities whatsoever shall accrue to or be incurred inter-se by the parties or their shareholders or their creditors or employees or any other person.


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- 19.3. In the event of non-fulfilment of any or all obligations under the Scheme, by one company towards the other company inter-se, or to third parties, the non-performance of which will put the other company under any obligation, then defaulting company will indemnify all costs, interests, etc. to the other company.

20. EXPENSES CONNECTED WITH THE SCHEME

All costs, charges and expenses of the Transferor Company and the Transferee Company respectively in relation to or in connection with negotiations leading up to the Scheme and of carrying out and completing the terms and provisions of this Scheme and in relation to or in connection with the Scheme and incidental to the completion of the Amalgamation of the Transferor Company with the Transferee Company in pursuance of this Scheme upto the Effective Date be borne by either of the Transferor Company or Transferee Company as may be mutually decided between the Transferor Company and Transferee Company and thereafter shall be borne and paid by the Transferee Company.

21. DATE OF TAKING EFFECT

The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the NCLT shall be effective from the Appointed Date but shall be operative from the Effective Date.

22. BINDING EFFECT

Upon the Scheme becoming effective, the same shall be binding on the Transferor Company and Transferee Company and all concerned parties without any further act, deed, matter or thing.

23. EFFECT OF NON-RECEIPT OF CONFIRMATION/SANCTIONS

- 23.1. In the event of the Scheme not being sanctioned by the NCLT, this Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated or as to any rights and/ or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law and agreed between the respective parties to this Scheme. Each party shall bear and pay its respective costs, charges and expenses in connection with the Scheme unless otherwise mutually agreed.
- 23.2. If any part or section of this Scheme is found to be unworkable for any reason whatsoever, the same shall not, subject to the decision of the Board of Directors of

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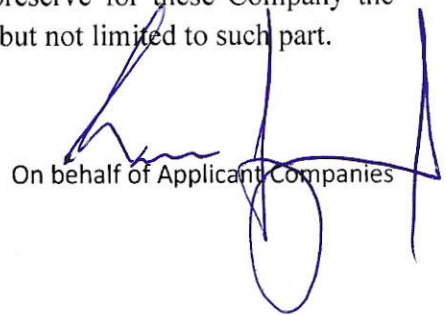


Transferor Company and Transferee Company, affect the adoption or validity or interpretation of the other parts and / or provisions of this Scheme. It is hereby clarified that the Board of Directors of Transferor Company and Transferee Company, as the case may be, may in their absolute discretion, adopt any part of this Scheme or declare the entire Scheme to be null and void and in that event no rights and liabilities whatsoever shall accrue to or be incurred inter se by the parties or their shareholders or creditors or employees or any other person. In such case, Transferor Company and Transferee Company shall bear its own cost or bear costs as may be mutually agreed. Such decisions shall not have an effect on the company that is not a part of such decision.

24. REVOCATION OR WITHDRAWAL OF THE SCHEME

- 24.1. The Board of Directors of the Transferor Company and Transferee Company shall together be entitled to revoke, cancel, withdraw and declare this Scheme to be of no effect at any stage if: (i) this Scheme is not being sanctioned by the Tribunal or if any of the consents, approvals, permissions, resolutions, agreements, sanctions and conditions required for giving effect to this Scheme are not obtained or for any other reason; (ii) in case any condition or alteration imposed by the Tribunal, shareholders/creditors of the Company or any other authority is not acceptable to the Board of Directors of the the Transferor Company and Transferee Company; (iii) the Board of Directors of the Transferor Company and Transferee Company are of view that the coming into effect of this Scheme in terms of the provisions of this Scheme or filing of the drawn up order with any Governmental Authority could have adverse implication on all or any of the Transferor Company and Transferee Company; (iv) any change in Applicable Law; (v) owing to reasons as otherwise deemed fit by both the Board of the Transferor Company and Transferee Company. On revocation, withdrawal, or cancellation, this Scheme shall stand revoked, withdrawn, cancelled and be of no effect and in that event, no rights and liabilities whatsoever shall accrue to or be incurred inter se between the Company or their respective shareholders or creditors or employees or any other person, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any right, liability or obligation which has arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out in accordance with the applicable law and in such case, each party shall bear its own costs unless otherwise mutually agreed.
- 24.2. If any part of the Scheme is invalid, ruled invalid by any Tribunal or court of competent jurisdiction, or unenforceable under present or future laws, then such part shall be severable from the remainder of the Scheme. Further, if deletion of such part of the Scheme may cause the Scheme to become materially adverse to the Transferor Company or Transferee Company, then in such case the said Companies may bring about modification(s) in the Scheme, as will best preserve for these Company the benefits and obligations under the Scheme, including but not limited to such part.

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Further, failure of any part for lack of necessary approval from shareholders/ creditors/ statutory regulatory authorities shall not result in failing of whole Scheme. It shall be open to the concerned Board of Directors, with the approval from the shareholders, to consent to severing such part(s) of the Scheme and implement the rest of the Scheme as approved by the Tribunal with such modification(s).

- 24.3. In the event of any inconsistency between any of the terms and conditions of any earlier arrangement between the the Transferor Company and Transferee Company, and/or their respective shareholders and/or creditors, and the terms and conditions of the Scheme, the latter shall prevail.
- 24.4. The Board of Directors of the Transferor Company and Transferee Company shall be entitled to withdraw this Scheme prior to the Effective Date.



On behalf of Applicant Companies